ABS Level I Basic

Contract

Version 2.0

Allianz

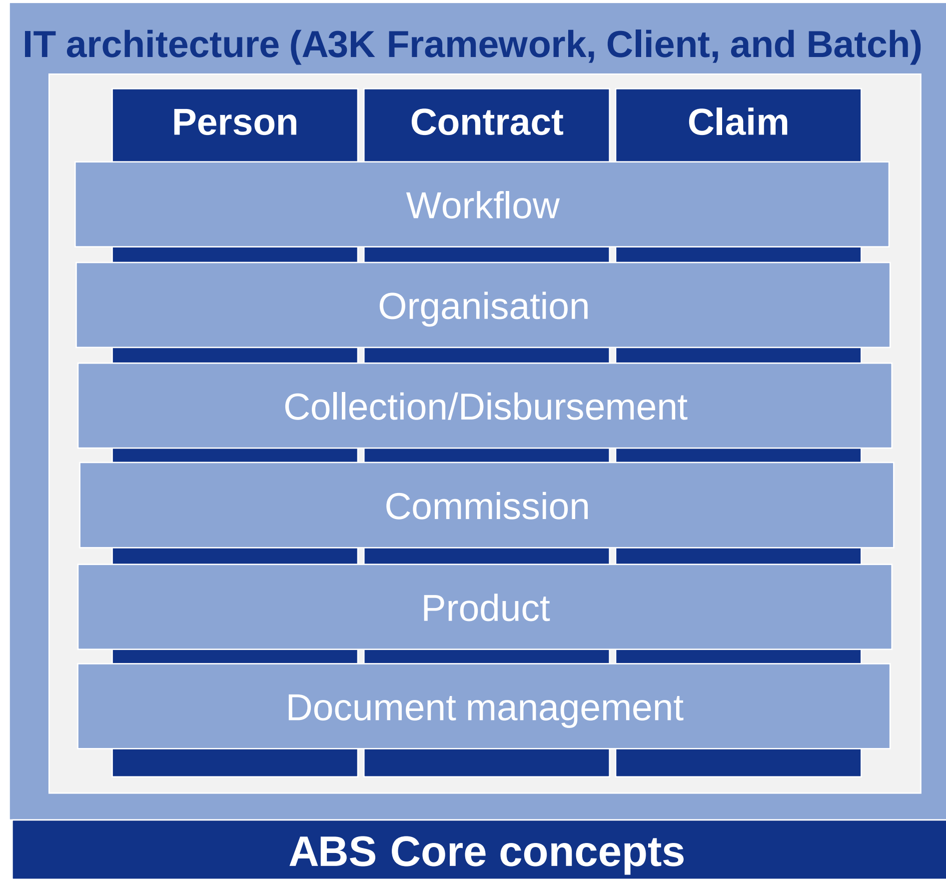
Agenda

Contents of the module

What can you expect in this unit?

You get an insight into:

- How ABS supports the product development process
- How product-specific defining data are structured within ABS and connected to the operational contract data
- Which general functionalities are available for ABS contract



The functional object contract supports all processes required for processing a contract in ABS. For this, the functional object Contract uses many cross-cutting functionalities and also accesses the basic functionalities.

1

Interaction of contract and product model

How are product and contract defined in ABS?

Product	Products define all maximum possible contract options.
Contract	Contracts are specific agreements with policy holders based on the products.

Product model of ABS

One of the core functions of ABS is the product-driven management of insurance bundle contracts. In order to reduce the effort of defining and managing insurance products and to support consistent business processes across classes, a product model was developed, which

- determines the maximum design scope for insurance products and hence also for insurance contracts,
- applies across classes, thereby supporting the requirements of different class areas and
- significantly controls the behaviour of the ABS Rich Client in application, contract and claim processing, while at the same time represents the basis for print outputs.

Interaction of contract and product model

Which information is managed in the contract file?

Contract file in ABS

In the contract file, all information which is required for creating, editing, and querying a contract is displayed together.

These are for example:

- which objects are to be insured
- against which risks are the objects insured
- start and end of the contract
- who pays the premium and in what form
- which conditions and clauses were agreed
- to whom the policy documents should be sent, etc...

2

Schematic representation of the product structure

How are products structured in ABS?

Insurance products (1st level)

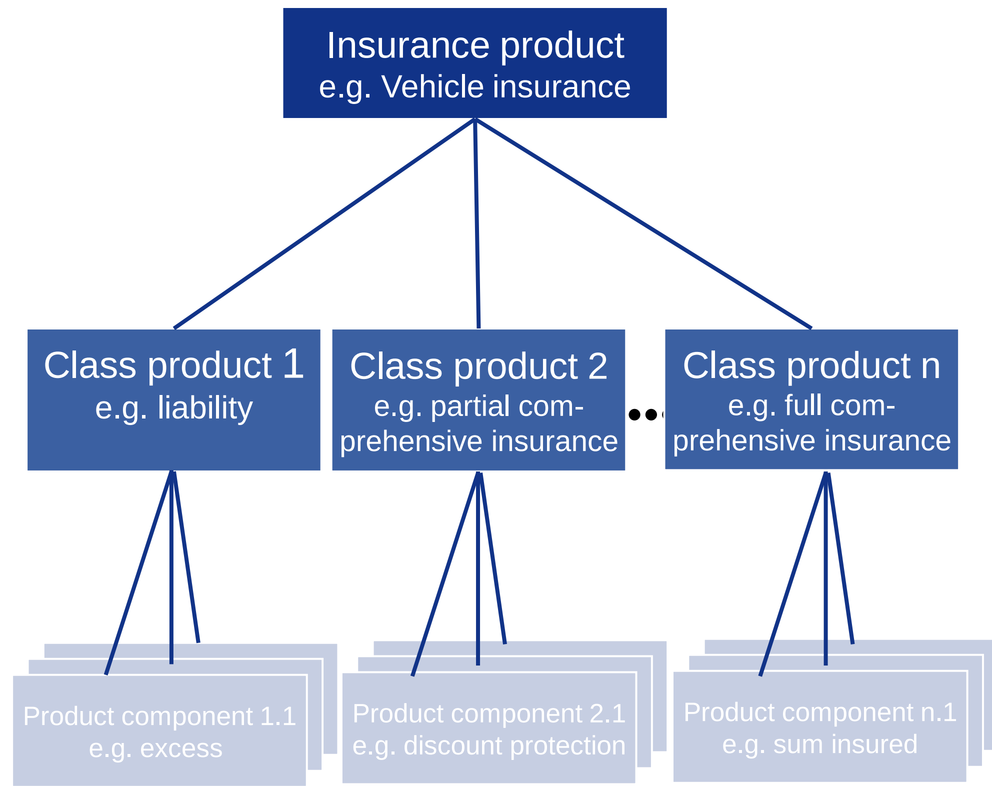
- Represent a sales product
- Form a bundle of possible insurance protection
- E.g. “Vehicle insurance”

Class products (2nd level)

- Represent possible insurance protection
- E.g. “Liability insurance”

Product components (2nd level)

- Represent specific insurance-technical coverages
- E.g. Sum insured, deductible, discount protection,..



In ABS, all products are always modelled using these three main levels.

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ABS contract structure

How are contracts structured in ABS?

Contract

- is identified by a policy number
- Bundles various insurance coverares
- contains start and end date
- is netted within a collection process
- Policy holder is assigned to the contract

Coverage

- Corresponds to insurance class (e.g. vehicle partial comprehensive insurance)
- Contains insurance protection of class-specific risks
- Is the starting point for claim/benefit processing

Coverage item

- Contains coverages for the insured risks
- Insured objects (persons or properties) are assigned to coverage item based on the product definition
- Mapping of legal clauses

Contract
e.g. motor vehicle

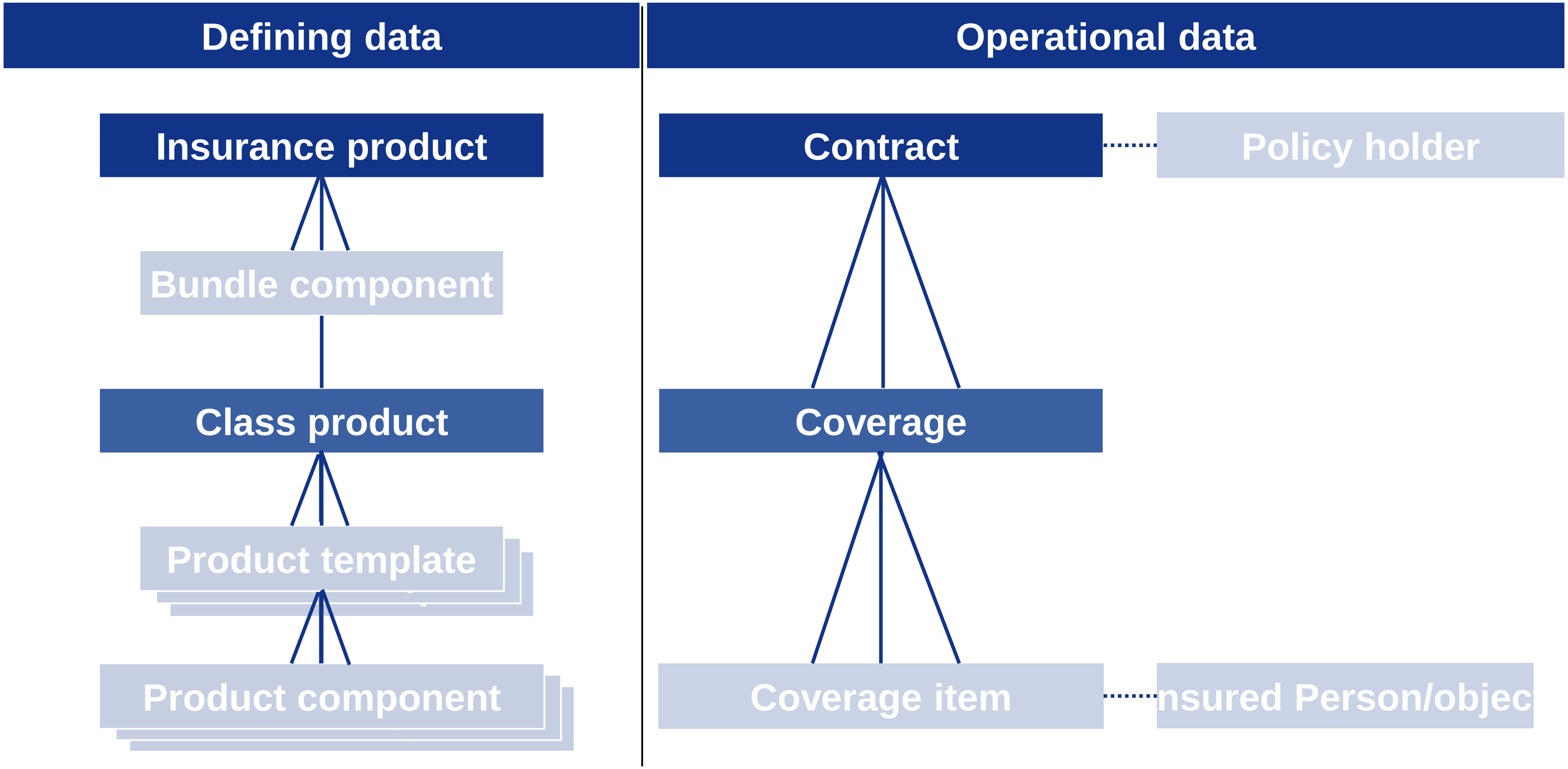
Coverage
e.g. partial/full compre-hensive insurance

Coverage item

The three levels of defining data are reflected in the operational contract in ABS.

Relation between product and contract structures

How are product and contract structure related?



There is no mapping of bundle components or product templates in the operational contract in ABS, since a specifically selected combination is always available there.

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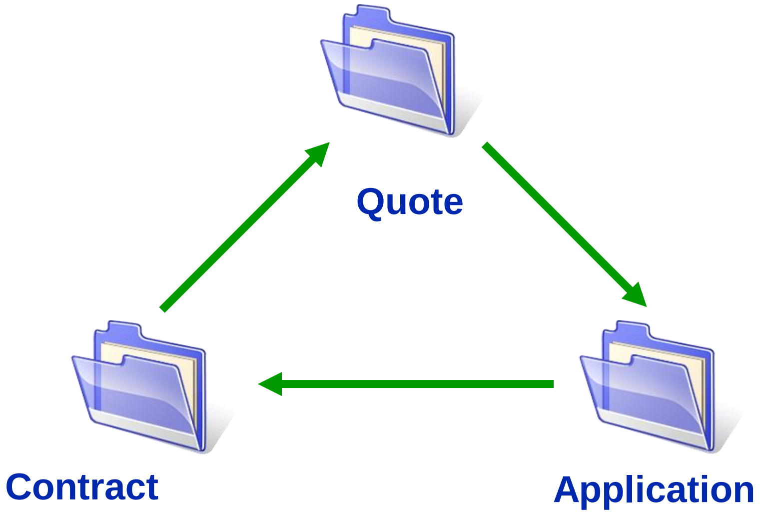
Contract stages

What are the contract stages?

Three contract stages

- Quote (stage = 1)
- Application (stage = 2)
- Contract (stage = 3)



Advantages of this architecture

- Reuse of already entered data
- Reduction of input errors
- No multiple data input

- For new contracts, all three stages are always passed through
- In the case of a contract amendment, the three stages are not necessarily passed throug, this depends on the type of contract amendment.

Contract stage - quote

What distinguishes a quote?

Features of the quote
Represents the offer to the customer
Contains already all important data of products, objects, etc. to the extent it is required for premium calculation
Can be changed any time
Various quotes simultaneously for a customer.
Can be created for an existing contract. As a result, data from this contract can be reused.
Always the first step for the creation of a new contract
Transfer from a quote to an application is done manually by the clerk

Contract stage - application

What distinguishes an application?

Features of the application

- Represents the application of a customer to an insurance company
- Contains all the necessary data for contract creation
- A policy number is assigned when creating an application (new business)
- Applications can be adapted or changed
- Application process is controlled with the help of the business process status (mostly used: in progress, to be approved, complete, completed)
- Transfer from an application to the contract is initiated manually by the clerk.

Contract stage - contract

What distinguishes a contract?

Features of the contract

- Represents the application reviewed and accepted by the insurance company
- Is a legally binding relationship between a person and the insurance company
- Batch automatically turns a completed application into an effective contract
- Contract status is determined from the statuses of the relevant coverages

Contract statuses

Which contract statuses can be distinguished?

Four contract statuses:	
effective	▪ At least one coverage (class) is effective in the contract ▪ Ongoing premium payment ▪ Insurance protection available
free of premium	▪ No premium payment ▪ Insurance protection available
suspended	▪ No premium payment ▪ No insurance protection available
cancelled	▪ No effective coverage available in the contract (all classes are cancelled)

Contract file – distinction standard and expert file

What are the differences between the standard and expert file?

Standard file	Expert file
▪ Designed for usage by sales force and back office ▪ Normally, there are several standard files (e.g. motor vehicle, life insurance, health insurance, non-life) ▪ Contract processing of standardised products ▪ Depending on the application area, specific entities are available for processing ▪ Validation of inputs for functional plausibility ▪ Premium calculation is always automated ▪ Escalation rules are possible for each standard file	▪ Designed only for usage by the back office ▪ There is only one expert file ▪ Contract processing of non-standardised or individualised products (e.g. industry) ▪ Graphic interface and also basic DB structure are identical to the standard file ▪ Low degree of automation and validation ▪ Premiums must be calculated and entered manually ▪ Escalation of applications is also possible for the expert file.

ABS Object concept

How are objects managed?

ABS Object concept

- Reuse of a person’s properties (for additional contracts and subsequent claims)
- Maintenance done using the [object] tab in the Contract file
- Monitoring of already insured objects
- Product defines type and number (if any) of necessary objects for a contract
- Is required for creating a quote, application or contract.
- Object examples (approximately 20 predefined)
  - building, electric appliances, plot, motor vehicle, animal, apartment

Amendment types

What are the change types for contracts?

Amendment type	Explanation
Amendment application	Change takes place via an application, which through policy processing leads to a new version of the contract including historization. (Quote - application - contract)
Amendment notice	Change takes place directly in the contract, which through policy processing leads to a new version of the contract. Historization takes place. Amendment notice is possible only in direct connection.
Direct amendment	Changes take place only in tables that are not part of the functional object Contract. There is no historization. Direct amendment is primarily used for processing business object-related functions (e.g. documents, comments,…)

Reasons for amendment

What is concealed behind the reasons for amendment?

Reasons for amendment

- required to change contracts
- specify the type of contract amendment (amendment application, amendment notice or direct amendment)
- Specify the amendment to be done and the processing options (certain areas of GUI can be locked)
- Documents processed amendments

Two different types of reasons for amendment

- technical reasons for amendment (premium-relevant amendments)
- non-technical reasons for amendment (premiums are not affected)

In ABS, the reason for amendment can be selected manually by the user as well as automatically by the batch.

Reasons for amendment

What is concealed behind the reasons for amendment?

Reasons for amendment

- used for the documentation of functional amendments
- maximum three reasons for amendment can be saved for each contract amendment
- are partially defined by Core business logic

Example for setting the reasons for amendment

Payment frequency is changed in an amendment application and value adjustment is executed simultaneously

- Contract Reason for amendment = G13 (technical amendment)
- Reason for amendment 1 = G13 (technical amendment)
- Reason for amendment 2 = G28 (inclusion of value adjustment)
- Reason for amendment 3 = G35 (payment frequency amendment)

Cancellation types in ABS contract (1/2)

Which types of cancellation can be differentiated?

Total cancellation of the contract

- Takes place via the reason for amendment G08.
- All coverages (classes) belonging to the contract are cancelled.
- There is a reason for cancellation for all coverages.
- As part of policy processing, a pro-rata backward projection of the existing bookings takes place.

Partial cancellation of the coverage (class cancellation)

- Takes place mostly via reason for amendment G80
- Individual coverages (classes) belonging to the contract are cancelled.
- There is a cancellation reason per coverage to be cancelled
- As part of policy processing, a pro-rata backward projection take place for the bookings for the class.
- Cancellation of all classes is not possible since at least one must be effective (client verification).

Cancellation types in ABS contract (2/2)

Which types of cancellation can be differentiated?

Scheduled task cancellation - total cancellation or partial cancellation

- Takes place via documentation of the scheduled task SSTOR, which is processed at the date specified in the scheduled task.
- As part of processing, a cancellation or amendment application is created automatically.
- Cancellation of classes as well as total cancellation are possible.

Examples of cancellation reasons in ABS

- Cancellation by insurance company
- After claim by policy holder
- Mutual agreement
- Contract ends
- Cancellation due to lack of payment
- Surrogate

Surrogate transaction in ABS contract

How can contracts be replaced?

Surrogate transaction

- One or several contracts are replaced by a new contract.
- Input in the client takes place via the new/amendment application of the surrogate contract by specifying the original contract numbers.
- The original contracts are cancelled as part of policy processing.
- It can be determined whether the balance of the original contract should be transferred to the surrogate contract.

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Classification in the data model

How does classification take place in UDM?

UDM
Company-wide unified data model

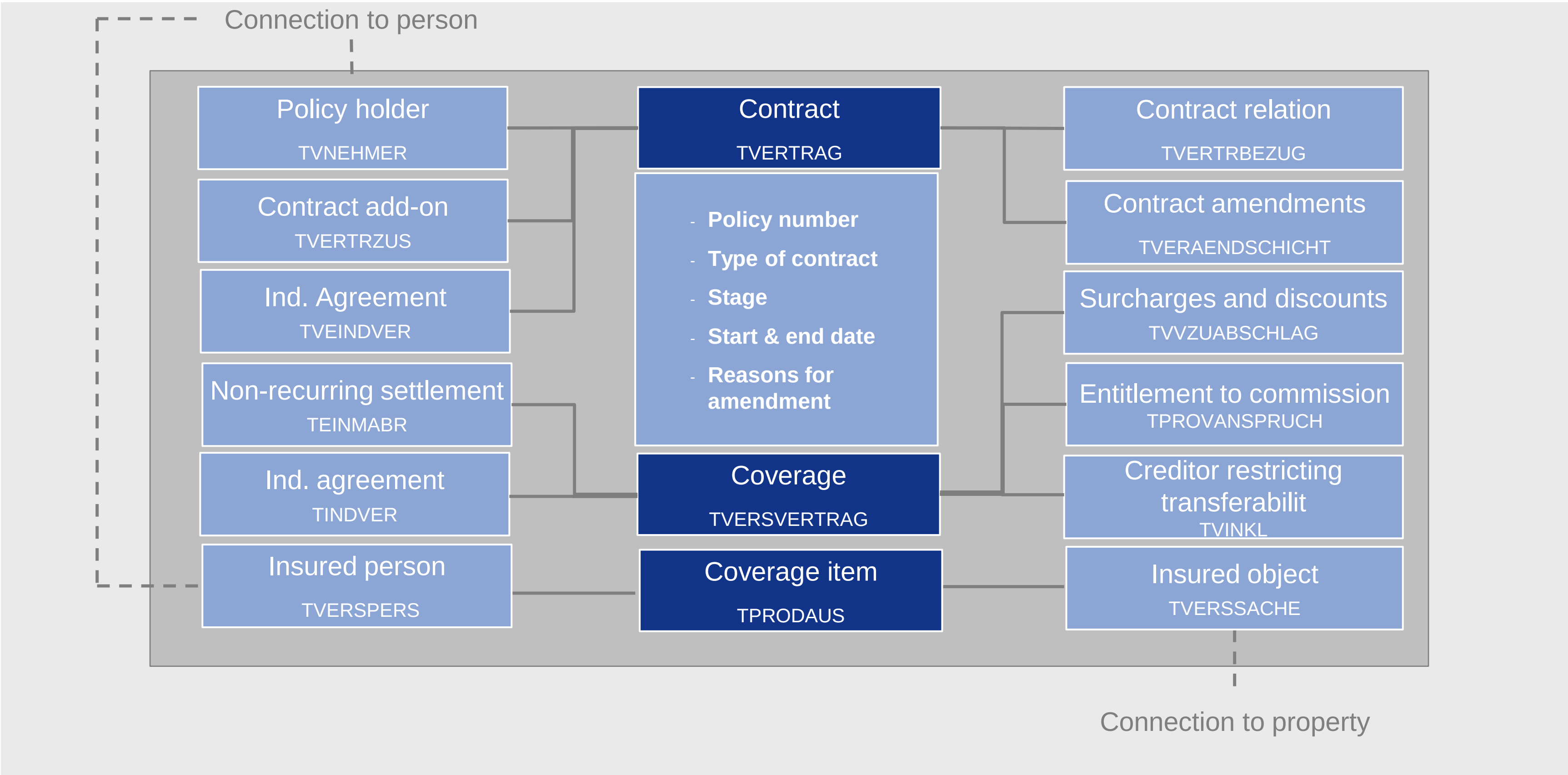
Operational data		
Property	**Contract**	Third party contract
Assignment	Person	Feedback
Loss event	Claim	Accumulation risk

Defining data (extract)		
Commission	Product	Domains
Role	Orga	Loss event type
Workflow	Company data	…

Contract is one of the central functional objects in the operational data model of ABS.

Functional object contract - extract from the data model

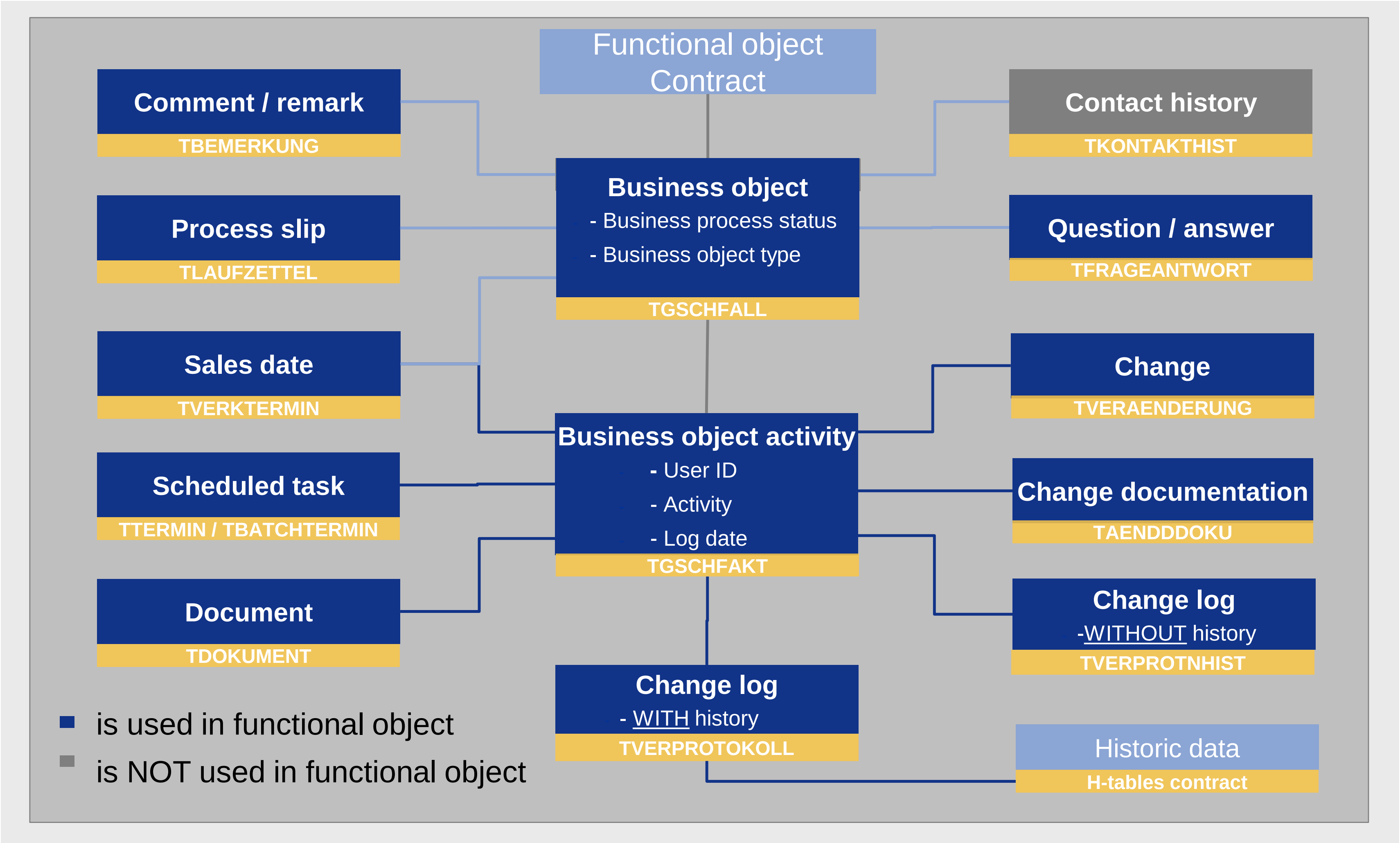
Which tables contain functional object contract?



Contract-relevant information is stored in different tables. The central table is TVERTRAG. Among others, the policy number, stage, reasons for amendment, payment frequency, effective inception date etc. are stored there.

Business object functionalities

How are the tables of the business object connected to each other?



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Live demo

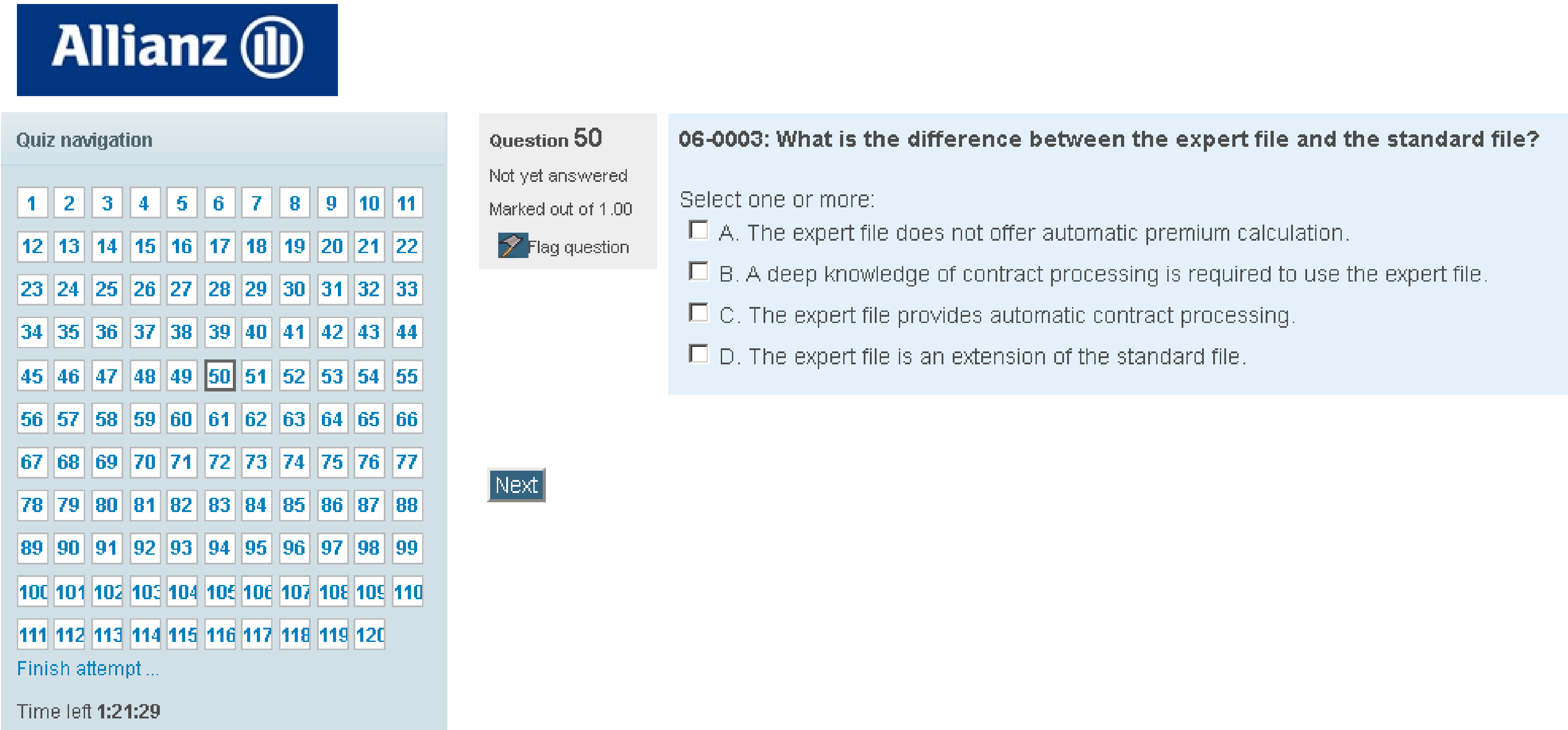
Summary

What should we keep in mind?

You should now have knowledge about the following:

- Relation between defining product data and operational contract data
- Which product structure levels exist and what is their meaning
- Which contract stages and statuses exist in ABS
- Which contract amendment types are executed in ABS
- Integration of the Functional object Contract in the data model

Sample test question



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